

February/March 2025

1-D:

In economics, land is one of the four factors of production, alongside labor, capital, and entrepreneurship. It encompasses all natural resources used in the production process. This includes not only the physical space but also the natural resources found on, below, and above the earth, such as minerals, water, and forests.

Hence all the above options A,B, and C are not related to the natural resources. This makes option D a correct option to select.

2-C:

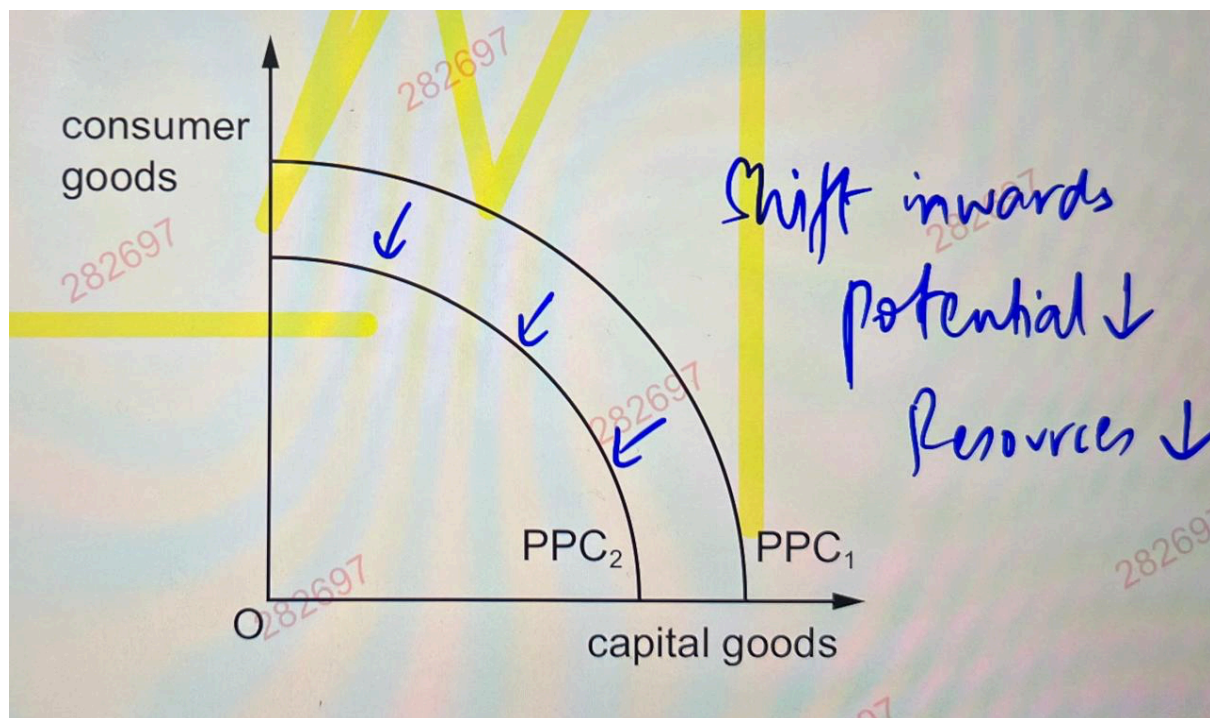
A- external cost is the cost that is imposed on the third party who is not directly involved in an economic transaction.

B- Internal cost refers to the expenses a company incurs directly within its own operations, also known as private cost.

C- Opportunity cost is the value of the next best alternative that is forgotten when a choice is made. It represents what you give up when you select one option over another.

D- In economics, private cost refers to the direct expenses incurred by an individual or firm when producing goods or services.

3-A:



A- resources are declining, that will shift PPC_1 inwards to PPC_2

B-movement along the curve

C- increase in investment will increase the actual and increases the point towards the PPC

D- increase in unemployment will decrease the actual that causes the movement of points towards the origin.

4-A:

The formal microeconomics definition is the branch of economics that studies the behavior of individuals and businesses and how decisions are made based on the allocation of limited resources.

A- concerns with microeconomics as it's includes the product wheat that is sell out by another agent firms

B- macroeconomics issues

C- macroeconomics concerns

D- part of increasing the aggregate demand in an economy

5-C:

Economic systems answer three basic questions: what will be produced, how will it be produced, and how will the output society produces be distributed?

A- option A answer the question for whom to produce the goods and services

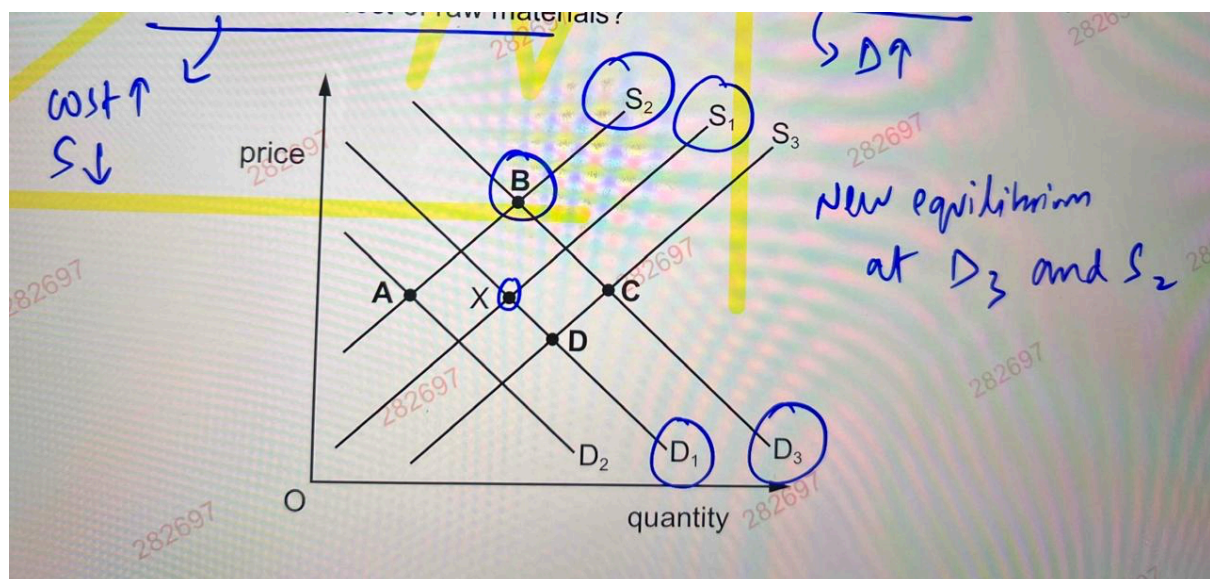
B- option B answer the question what to produce either industrial or consumer goods

C- making a decision of what sort of goods should be supplied to the market

D- option D answer the question how to produce either labor or capital

6-B:

A successful advertising will increase the demand for the good and shift the demand curve from D_1 to D_3 . On the other hand, an increase in cost of production will shift the supply curve leftward or inwards from S_1 to S_3 as shown in the diagram below:



7-D:

From the question description, we can identify that PED for goods is relatively elastic that is 2 while ignoring the negative sign. In case of a fall in price of goods by 10% that has elastic demand, the quantity demanded will extend by more than 10%. Thus increasing the total revenue for a firm.

A- if the price increases of a good that has elastic demand, then quantity demand reduces by more than 10%.

B- quantity demand will only rise by a smaller percentage when demand is inelastic

C- question is not talking about the PES

D- yes total revenue will increase if prices are cut down in case of elastic demand

8-D:

A market economy is an economic system where the production, distribution, and pricing of goods and services are primarily determined by supply and demand, with limited government intervention. Private entities own the means of production, and individuals make choices based on their own self-interest and the profit motive.

A- No, producers decides what method of production to use

B- No government intervention in a market economy

C- No government intervention in a market economy

D- Yes, ownership of private investors

9-B:

An external cost, also known as a negative externality, is a cost imposed on a third party who is not directly involved in an economic transaction.

A-private cost to the government

B-No compensation to be provided to the people living around the forest

C- private cost to the government

D- private benefit to the public

10-B:

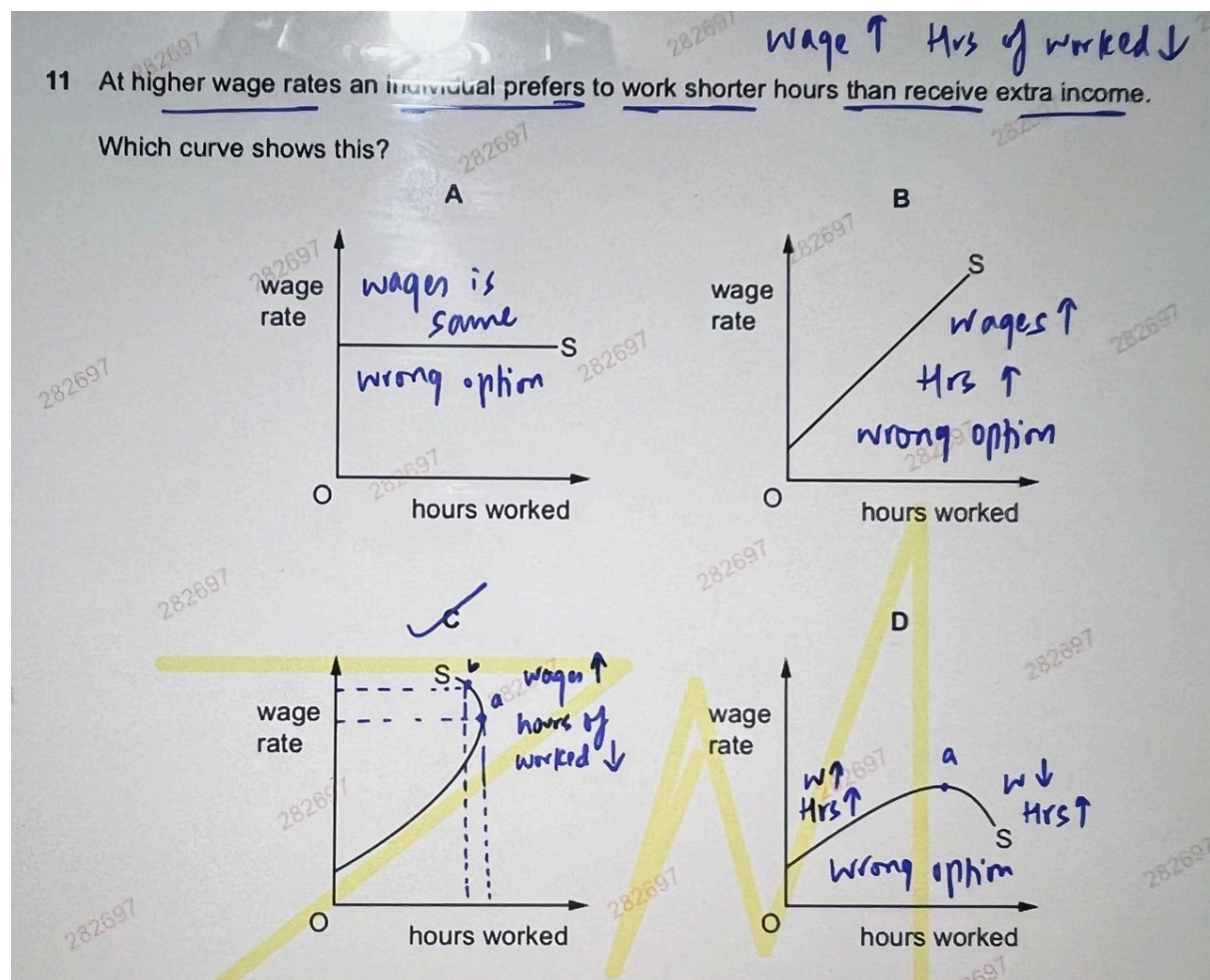
The functions of a central bank can are as follows: Currency regulator or bank of issue, lender of last resort, bank to the government, controlling of monetary policy etc

Options other than option B, are the functions of commercial banks.

11-C:

11 At higher wage rates an individual prefers to work shorter hours than receive extra income.

Which curve shows this?



12-D:

Trade unions are the group of workers who join together to achieve common goals like better wages, working conditions, and job security. They act as a collective bargaining unit, negotiating with employers on behalf of their members

A- employers are the owners

B- an exporter is the one who sends goods out of their country to a foreign country for trade purposes.

C-- an importer is the one that brings goods into a country from another country for the purpose of trade.

D- yes we called them workers

13-B:

Internal growth, also known as organic growth, occurs when a company uses its own tools and resources to expand.

A- diseconomies of scale at lower levels will increase the firm's average total cost and this discourages them to grow internally.

B- yes it's encouraging for firms because at higher output, the more ATC will reduce, reducing the per unit cost of firms

C-This suggests that there are low barriers to entering the market. As a result, firms will find themselves difficult to survive and grow further due to intense competition.

D-limited growth due to supplying only to the local market. This will encourage firms to invest more in their operations.

14-B:

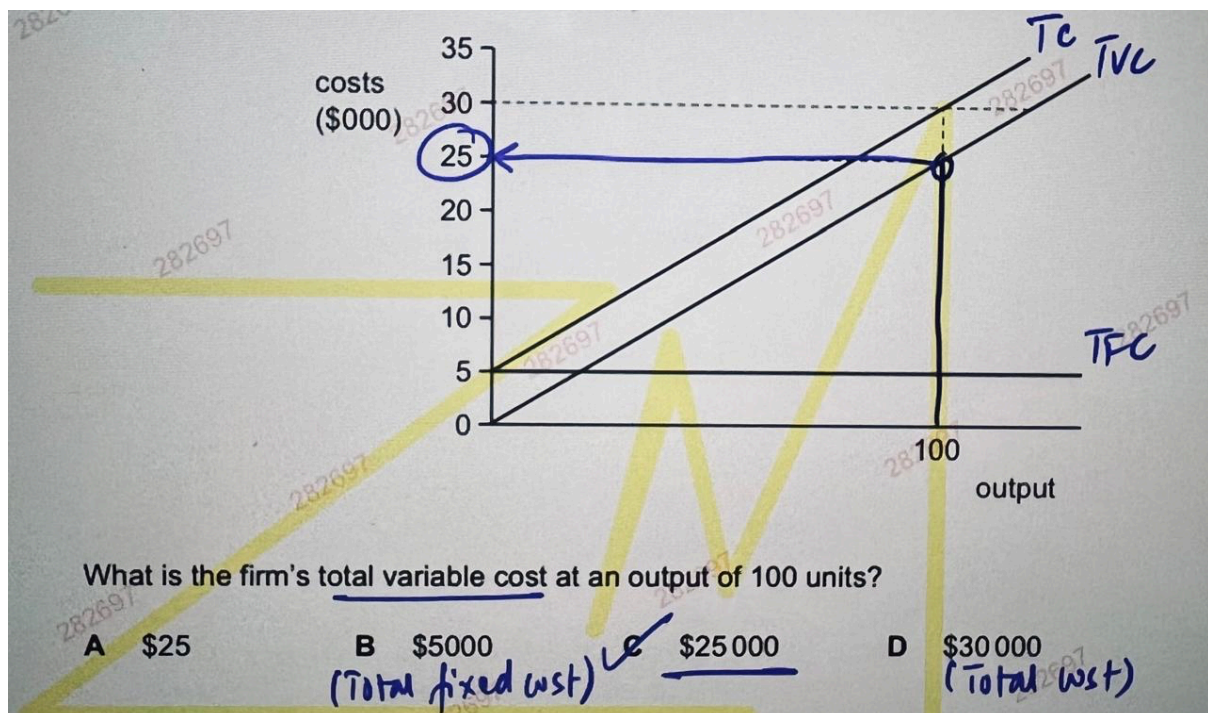
3 workers each washes 5 cars in a day that equals 15 cars in total in one day.

Now, after specialising 30 cars are washed in one day. The labour productivity doubles this time.

New-Old/Old multiple by 100

30-15/15 multiply by 100= 100%

15-C:



16-C:

16 The table shows the average revenue of a firm at various levels of output.

Average revenue = price (per unit revenue)

$$\overline{AR} = \frac{\overline{TR}}{Q} = \frac{P \times Q}{Q} = \underline{\underline{Price}}$$

output	average revenue (\$)
1	10
2	8
3	6
4	4

Total revenue = $P \times Q$

10 ↑
16 ↑
18 ↑
16 ↓

'Rise then falls'

17-A:

A government budget is the difference between the government spending and revenue received.

18-B:

A- exchange rate policy is a part of monetary policy

B- yes defence expenditure is regarded as government spending in an economy. While direct taxation is government revenue generated by the residents. So G and T are the two components of fiscal policy

C- monetary policy includes money supply, interest rates and exchange rates which is not mentioned in the question

D-trade protection policy includes tariff, embargoes, quotas, devaluation , export subsidies etc

19-B:

An increase in interest rates reduces the money supply in an economy. This impacts 2 main parties; savers and borrowers. Savers save more and borrowers reduce their borrowing due to increased interest rates.

A-wage earners are usually impacted by taxes not the interest rates.

B-yes it's discourages the entrepreneurs due to high cost of borrowing

C- related to taxation

D- related to tax rates

20-B:

A- Data shows employment not output

B- yes as 6 were employed in year 1 and 8 are employed in year 2

C- fall from 2 to 1 (farming)

D- drop in finance and education

21-C:

Geographical mobility of labor refers to the willingness and ability of workers to move from one location to another in search of employment.

Options A, B and D are all related to the firms. While option C only includes the factor that increases the geographical mobility of workers while reducing relocation expenses for workers.

22-D:

A- training is one of the factors that increases the potential of an economy. Thus increasing the long term economic growth.

B- different skills can be learned while being flexible. This also contributes to the growth.

C-short breaks to workers can boost the productivity of the workers, but it can't relate to the long term economic effects.

D-from skilled to semi skilled worked can restrict the long term potential growth of an economy

23-D:

A- to identify the real income, the data of nominal income and rate of inflation must required that's absent in the table

B-data doesn't tell about the cost of production

C-proportion of income spent is same

D- that's what weight tells in the table

24-D:

The Human Development Index (HDI) is a summary measure of average achievement in key dimensions of human development: a long and healthy life, being knowledgeable and having a decent standard of living. It's a composite statistic, with values ranging from 0 to 1, where higher values indicate a higher level of human development. The Human Development Index (HDI) has three key components: health, education, and standard of living

A-then HDI would be lower in country X

B-can't estimate the population appropriately through the HDI values whether doubles or half of population

C-not contributes to HDI

D-higher spending on education, higher value of HDI in country X than country Y

25-B:

Absolute poverty is a state of being in which a person lacks the necessities of life, such as food, clothing, and shelter. In contrast, relative poverty is a condition in which a person's income is insufficient to meet his or her needs when compared to others in society.

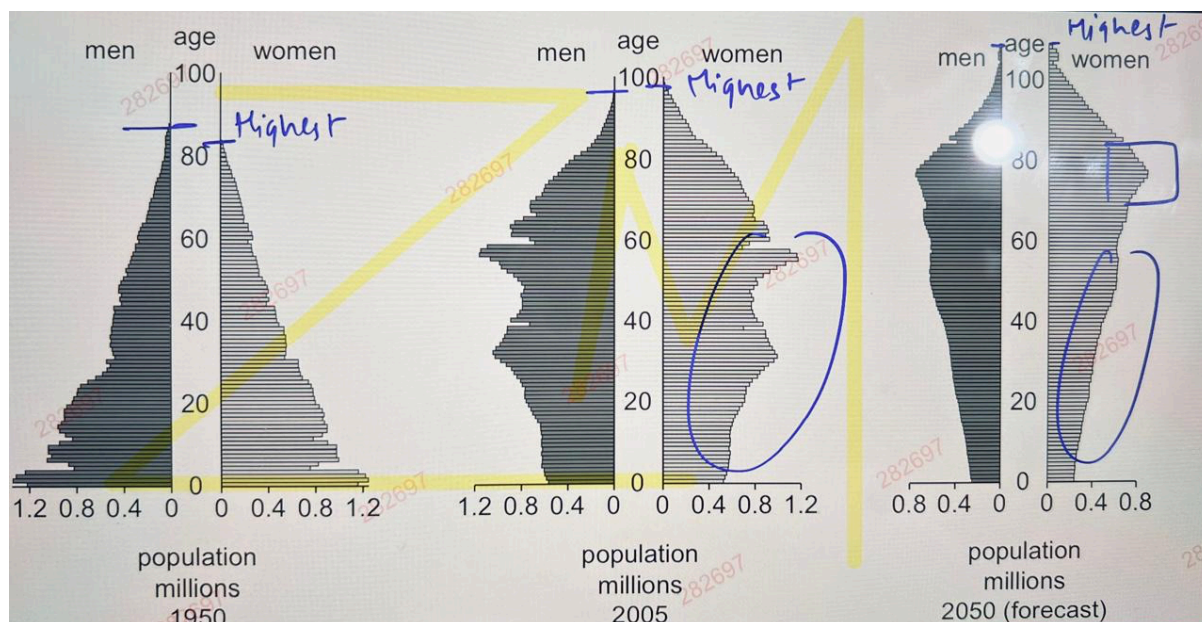
A- state pensions will improve the quality of life of elderly people and hence relative poverty will improve

B- low minimum wage means that wages are comparatively lower that should be granted to the workers that keeps the workers in relative poverty

C-imposed on the rich that contributes to the poorer in the form of pensions and transfer payments by the government. This will reduce relative poverty

D- will reduce poverty, as better healthcare and improved living standards

26-B:



A-Men outnumbered women only in 1950, while other years women also were the highest. (see the boxes)

B-yes, exceeding 100 in 2050

C-no, see the above circles that showed the population was growing unevenly

D-Data is of population not workforce

27-B:

A wide range of goods means that a country wants to diversify in different ranges of products in export markets. Hence this diversification reduces the need for a specialisation in oil for a county. Let's find out a reasons that supports the diversification

A- yes it is good reason that diversification should be done because non renewable sources exhaust with time

B- diversification doesn't support the idea of free trade. This is because free trade requires the countries to specialise first in order to supply the bulk goods to larger markets. Hence this makes it not an acceptable reason to support the diversification of goods and services.

C- good reason to support

D- good reason to support as price as are fluctuating and this can affect the export revenue

28-A:

tariff is a tax on goods and services imported into a country. It is typically used to increase the price of imported goods, making them more expensive than domestic goods and services, thus protecting domestic industries.

A- if PED of Chinese steel is relatively elastic in US markets, then import prices will rise. This will contact the quantity demanded by greater than 10%. As a result, the US residents will switch to the domestic market. Hence making this policy effective one in case of elastic demand only

B-in case of elastic demand, this policy will not be effective as quantity demand will only contract to some extent. Moreover, higher prices of imported goods will bring the imported inflation to US economy

C- not related to PES

D- not related to PES

29-A:

A- rise in interest rates will increase the foreign direct investment. This will increase the demand for currency and hence the value of currency will increase

B- if import prices fall, the import quantity will increase to the country. This will increase the supply of currency going out of the country and hence the value will fall.

C-more outflows of currency will increase the supply of the currency. This will reduce the value

D-sell, supply will increase and value will fall

30-C:

A current account surplus means a country has more exports and incoming payments than imports and outgoing payments to other countries.

From the question we have to reduce the inflows and increase the outflows

A-cut in government spending will reduce the overall income generated in an economy. Low income means, that fewer proportion of income is spent on imported goods and hence outflows will fall

B- devaluation of a currency makes the exported goods cheaper and imported goods relatively expensive. This will also reduce the outflows of a currency

C- increasing import quotas means that more imported goods can come into the country. For example, the first 50 imported cars are allowed. Now increasing the quanta's exceeds the limits and 60 cars can be imported. This increases the payments or outflows and reduces the surplus on the current account.

D- expenditure switching policy, this increases the surpluses of the current account.